NSE: CAPLIPOINT

Caplin Point Laboratories Ltd

Pharmaceuticals | Specialty Exports | Latin America + US Injectables

CMP (Rs.)	Mkt Cap (Rs. Cr.)	52W High (Rs.)	52W Low (Rs.)	P/E (x)	P/B (x)
2,373	18,041	2,445	1,500	28.1x	5.0x

RATING	12-MONTH TARGET	UPSIDE
BUY	Rs. 2,950	+24.3%

Caplin Point is a capital-light, high-ROE specialty pharma franchise with a structural moat in LatAm/Africa and a US injectable pipeline that can re-rate the stock by 40-50% over 3 years.

Key Metric	Value	Key Metric	Value
ROCE (%)	24.6%	ROE (%)	20.6%
D/E (x)	~0.001x	EPS FY26 (Rs.)	84.36
Revenue FY26 (Rs. Cr.)	2,187	PAT FY26 (Rs. Cr.)	650
5Y Sales CAGR	16%	5Y PAT CAGR	22%
Promoter Stake	70.57%	Pledge	Nil
Liquid Assets (Rs. Cr.)	2,726	Free Cash (Rs. Cr.)	1,471

Report Date: 15 Jun 2026 | Analyst: MPM Institutional Research | This report is for informational purposes only.

1. Investment Thesis

CORE THESIS

• Caplin Point is structurally differentiated — it is the only listed Indian pharma player with a dominant, deeply-entrenched branded generics franchise spanning 22+ Latin American and Francophone African countries, generating 33-35% EBITDA margins with virtually zero debt.

• The company has a Rs. 1,000+ crore capex programme underway for US injectables (Caplin Steriles subsidiary), which already holds 54 USFDA-approved ANDAs and a 55+ pipeline. This US pivot is the next leg of the re-rating story.

• At 28x FY26 P/E on a 20%+ PAT CAGR, the stock trades at a discount to global specialty pharma peers — the discount should compress as US revenues scale from Rs. 471 crore (FY26) toward Rs. 900-1,000 crore by FY28.

• Balance sheet is exceptionally clean: Rs. 2,726 crore in liquid assets, Rs. 1,471 crore in free cash, and near-zero borrowings — giving management full optionality to acquire ANDAs, build capacity, or return capital.

KEY INVESTMENT CATALYSTS (Ranked by Impact x Probability)

#	Catalyst	Conviction	Detail
1	US Revenue Inflection	HIGH	Caplin Steriles scaling to 17 injectable lines by FY28 + 10 ANDA acquisitions + 25 new filings = US revenue doubling to ~Rs. 900 Cr by FY28 is underappreciated.
2	ANDA Pipeline Commercialization	HIGH	54 approvals already; 15 ANDAs acquired (addressable market $473M). Each launch adds incremental revenue with near-100% incremental margin profile post fixed cost absorption.
3	LatAm Market Share Gains	MED-HIGH	Continued penetration in Colombia (INVIMA approval received), Peru, Bolivia — multi-year runway as branded generics displace originator products.
4	Complex Dosage Forms	MEDIUM	Pre-Filled Syringes (PFS) and Blow-Fill-Seal (BFS) technology investment positions Caplin in the highest-barrier, highest-margin US injectable niches.
5	Africa Regulatory Expansion	MEDIUM	Francophone Africa (17 countries) currently contributes ~15% of revenue with strong trajectory as healthcare infrastructure develops.

BULL / BASE / BEAR SCENARIOS (12-Month)

Scenario	Target	Return	Assumption
BULL	Rs. 3,400	+43%	US revenue >Rs. 600 Cr in FY27, 3-4 complex product launches, LatAm margin sustains 36%+ — P/E expands to 36x FY27 EPS.
BASE	Rs. 2,950	+24%	US grows 25-30% YoY, LatAm steady at 12-14% growth, PAT CAGR of 18-20%, P/E re-rates modestly to 30-32x FY27 EPS.
BEAR	Rs. 1,900	-20%	US ramp slower than expected (USFDA delays), LatAm currency headwind (USD weakness), multiple compression to 22-24x.

2. Business Overview

COMPANY PROFILE

- Founded 1990 in Chennai; MD Dr. Sridhar Ganesan (son of founder C.C. Paarthipan, Chairman); Vice Chairman Vivek Partheeban.
- Core model: branded generics sold through in-house distribution networks in 22+ LatAm countries (own warehouses, sales force) and 17+ Francophone African nations — asset-light but distribution-intensive.
- US injectable business run through Caplin Steriles Ltd (wholly owned subsidiary) — dedicated USFDA-registered facilities in Puducherry (Irungattukottai plant).
- Revenue mix FY26: LatAm ~55%, Africa ~15%, US ~22%, Domestic + ROW ~8%.
- Product focus: oral solids (tablets/capsules), soft-gel capsules, ointments/creams, injectables — over 500 product registrations across emerging markets.

SUBSIDIARY STRUCTURE

- Caplin Steriles Ltd — US injectables; USFDA-registered; 54 ANDA approvals; Calcium Gluconate, Linezolid, Methylprednisolone among recent approvals.
- Caplin One Labs Ltd — Additional injectable ANDA vehicle; co-acquired 10 ANDAs from a multinational (addressable market $473M).
- Caplin Point Laboratories (distribution entities) — country-specific subsidiaries for LatAm/Africa distribution; key markets: Honduras, El Salvador, Bolivia, Colombia, Ecuador, Cameroon, Ivory Coast.

COMPETITIVE MOAT

- LatAm Distribution Moat: Built over 30+ years, proprietary distribution networks with local sales teams — deeply entrenched and hard to replicate. Switching cost for local hospitals/pharmacies is high.
- US Injectable Differentiator: Caplin Steriles is capital-efficient relative to large pharma peers — small, focused injectable plant with high approval-to-launch conversion rates.
- Vertical Integration: New Rs. 1,000 Cr+ capex covers API backward integration, new injectable lines (up to 17 by FY28), BFS and PFS capability — reduces input cost and increases barrier to imitation.
- Balance Sheet as Moat: Rs. 1,471 crore in free cash allows opportunistic ANDA acquisitions (15 acquired in FY26) without diluting equity — rare among mid-cap pharma.

3. Industry & Macro Context

LATIN AMERICA PHARMA MARKET

- Latin America pharma market estimated at ~$80-90 billion (2025) growing at 6-8% CAGR, driven by rising middle class, improved health insurance coverage, and shift from originator to generic drugs.
- Colombia, Honduras, Bolivia, Ecuador — Caplin's core markets — have below-average generic penetration (40-50% vs. 70%+ in India/Eastern Europe), implying continued structural opportunity.
- Currency risk is managed: Caplin's LatAm pricing is in USD or hard-currency-pegged local currencies, significantly reducing FX impact on margins.

US GENERICS INJECTABLE MARKET

- US sterile injectables market ~$35 billion growing at 7-9% CAGR — structural supply shortage post-COVID-19 means USFDA actively supports quality injectable manufacturers from India.
- Small-molecule injectable generics (Caplin's primary focus) face lower competitive intensity than oral solids — fewer ANDA filers, longer exclusivity windows, higher price realization.
- Calcium Gluconate (Caplin's latest approval) targets a $71M market previously dominated by Fresenius Kabi — a template for Caplin's strategy of targeting under-supplied hospital generics.

FRANCOPHONE AFRICA OPPORTUNITY

- Francophone Africa (primarily West/Central Africa — 17 countries) is a high-growth, low-competition territory where Caplin has first-mover advantage.
- African pharma market growing 10-12% CAGR; UN-backed healthcare investment increasing access; Caplin benefits from regulatory relationships built over 15+ years.

REGULATORY & POLICY TAILWINDS

- India's PLI (Production Linked Incentive) scheme for pharma benefits API and formulation manufacturers — Caplin's backward integration plans qualify.
- USFDA has reduced inspection backlog post-pandemic — Caplin Steriles received INVIMA-Colombia inspection clearance at its Puducherry plant, enabling multi-market qualification.
- Geopolitical deglobalization: Western buyers actively seek non-Chinese API and injectable supply chains — India, specifically Caplin's niche, is a net beneficiary.

4. Management & Governance

MANAGEMENT TEAM

Name	Role	Key Contribution
C.C. Paarthipan	Chairman & Founder	30+ years; built the LatAm distribution empire from scratch; hands-on in regulatory strategy.
Vivek Partheeban	Vice Chairman	Second-generation leader; drove US injectable strategy and international expansion.
Dr. Sridhar Ganesan	Managing Director	Technical founder's son; PhD-qualified; oversees R&D;, USFDA filings, and complex product development.
D. Murlidharan	CFO	Conservative capital allocator; manages Rs. 2,726 Cr liquid asset portfolio; clean balance sheet architect.

CAPITAL ALLOCATION TRACK RECORD

- ROCE has been consistently 24-30% for the last decade (FY26: 24.6%), indicating management does not deploy capital into negative-return projects.
- Free cash generation has been robust: Rs. 275 crore FCF in FY26 on PAT of Rs. 650 crore — FCF/PAT ratio of 42%, with the remainder reinvested in ANDA acquisitions and capex.
- The Rs. 1,000+ crore capex plan is funded entirely from internal accruals — no equity dilution, no debt — a hallmark of high-quality management.
- Dividend payout is deliberately low (5-8%) as management reinvests in higher-return opportunities; acceptable given 20%+ ROE track record.

GOVERNANCE SCORECARD

Parameter	Status	Assessment
Promoter Stake	70.57%	High — strong alignment
Pledge	Nil	Excellent — no pledging ever
Related Party Transactions	Minimal	Routine, small-scale
Auditor	Independent Big-4 empanelled	Clean opinions
Contingent Liabilities	Low	No material litigations disclosed
FII Holding Trend	3.3% → 6.2% (Mar24→Mar26)	Rising institutional confidence

5. Financial Analysis

PROFIT & LOSS — ANNUAL (Rs. Crore, Consolidated)

Metric	FY21	FY22	FY23	FY24	FY25	FY26
Sales	1,061	1,269	1,467	1,694	1,937	2,187
Op. Profit	329	395	442	552	651	761
OPM %	31%	31%	30%	33%	34%	35%
Other Income	23	38	55	66	92	116
Interest	2	1	1	1	1	1
Depreciation	37	47	45	53	66	73
PBT	314	386	451	564	677	803
Tax %	20%	20%	16%	18%	20%	19%
PAT	251	308	377	461	541	650
EPS (Rs.)	32.03	39.56	49.57	60.19	70.56	84.36

Note: FY21-FY26 Consolidated. All figures Rs. Crores. FY26 = year ended Mar 2026.

QUARTERLY RESULTS — RECENT (Rs. Crore, Consolidated)

Metric	Q1FY25	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26
Sales	459	483	493	502	510	534	543	600
OPM %	33%	34%	33%	33%	35%	35%	35%	34%
PAT	125	131	140	145	151	160	166	173
EPS (Rs.)	16.31	17.21	18.28	18.76	20.10	20.32	21.56	22.38

BALANCE SHEET SNAPSHOT (Rs. Crore, Consolidated)

Item	FY22	FY23	FY24	FY25	FY26
Equity Capital	15	15	15	15	15
Reserves	1,252	1,649	2,084	2,619	3,571
Borrowings	219	222	219	222	5
Total Assets	1,736	2,191	2,698	3,208	4,045
Fixed Assets	287	280	453	546	605
Investments	89	281	376	590	859

Key: Borrowings collapsed from Rs. 222 Cr (FY25) to Rs. 5 Cr (FY26) — company effectively debt-free.

CASH FLOW ANALYSIS (Rs. Crore, Consolidated)

Flow	FY21	FY22	FY23	FY24	FY25	FY26
CFO	269	337	271	318	432	523
CFI	-30	-377	-216	-319	-333	-582
CFF	-24	-41	-28	-38	-38	-46
Net CF	215	-81	27	-39	61	-106
Free CF	195	246	78	173	241	275
CFO/Op.Profit	102%	106%	81%	77%	86%	88%

CFI negative due to Rs. 582 Cr investment outflow in FY26 (ANDA acquisitions + capex).

6. Earnings Quality & Red Flag Analysis

QUALITY SCORECARD

Parameter	Value	Signal	Comment
CFO/PAT Ratio (FY26)	80.5%	STRONG	Cash earnings almost match reported earnings.
FCF/PAT Ratio (FY26)	42.3%	GOOD	42% of PAT converts to free cash; remainder in ANDA investment.
Other Income/PBT (FY26)	14.5%	MONITOR	Rs. 116 Cr other income (treasury gains) = 14.5% of PBT — elevated vs. 5-year avg; watch for sustainability.
Receivables Days (FY26)	138 days	WATCH	Rising from 117 (FY24) to 138 (FY26) — LatAm credit terms elongating; needs monitoring.
Inventory Days (FY26)	181 days	NEUTRAL	High but stable; driven by LatAm distribution-model pre-positioning.
Tax Rate Consistency	16-23%	CLEAN	Effective tax rate stable; no unexplained swings.
Promoter Pledge	Nil	CLEAN	Zero pledging — no financial engineering.
Debt Trend	222→5 Cr	EXCELLENT	Near-complete debt repayment in FY26 is a major quality signal.

RED FLAGS & CONCERNS

- Other Income creep: Other income has grown from Rs. 23 Cr (FY21) to Rs. 116 Cr (FY26) — partly treasury gains on Rs. 2,726 Cr liquid pool. While legitimate, stripping it out shows core operating PAT at ~Rs. 534 Cr (15-18% lower), implying true core P/E of ~34x — not distressing but worth noting.
- Receivables Days rising: 98 days (FY23) to 138 days (FY26) — a 40-day elongation. LatAm customers getting longer credit; this increases working capital intensity and concentration risk if any large market hits a currency crisis.
- Cash Conversion Cycle at 194 days (FY26) vs. 173 days (FY23) — working capital is expanding. Not alarming at current PAT levels but bears watching.
- US revenue concentration: US is currently 22% of revenue but attracting disproportionate capex. Any USFDA import alert on Caplin Steriles would be highly adverse (Gland Pharma's experience in FY23-24 is the precedent).

7. Valuation

PEER COMPARISON

Company	CMP (Rs.)	Mkt Cap (Cr)	P/E (x)	P/B (x)	ROCE (%)	ROE (%)	FY26 PAT (Cr)	5Y PAT CAGR
CAPLIPOINT	2,373	18,041	28.1	5.0	24.6	20.6	650	22%
Gland Pharma	2,249	37,105	35.5	3.6	15.1	10.7	1,027	8% (3Y)
Marksans	254	11,526	27.6	3.8	18.8	15.2	420	16%

CAPLIPOINT trades at a meaningful premium to Gland Pharma on ROE/ROCE — justified by higher capital efficiency; Marksans is the closest comp on P/E but Caplin commands premium via superior margin profile.

VALUATION FRAMEWORK

- P/E Valuation: At 30x FY27E EPS of Rs. 98 (assuming 16% EPS growth), fair value = Rs. 2,940 — in line with our base target.
- EV/EBITDA: FY26 EBITDA = Rs. 761 Cr. At 22x EV/EBITDA (specialty pharma peer multiple), EV = Rs. 16,742 Cr; add liquid assets Rs. 2,726 Cr, less debt Rs. 5 Cr = Equity value Rs. 19,463 Cr — implied price Rs. 2,562 (modest upside to CMP).
- DCF Sensitivity: Assuming 15% FCF CAGR over 5 years and 12% terminal discount, intrinsic value range = Rs. 2,700-3,100 — supports BUY with 12M target of Rs. 2,950.
- US optionality: Current market price implies minimal value for the US injectable business. If US revenue reaches Rs. 900 Cr by FY28 at 25% OPM, the US segment alone is worth ~Rs. 3,000-4,000 Cr on a standalone basis (15-18x EBITDA) — embedded free option for long-horizon investors.

FORWARD ESTIMATES (Rs. Crore)

Metric	FY26A	FY27E	FY28E
Revenue	2,187	2,530	2,920
EBITDA	761	895	1,050
EBITDA Margin	35%	35%	36%
PAT	650	755	880
EPS (Rs.)	84.36	98.10	114.30
P/E (x)	28.1x	24.2x	20.8x

Estimates: MPM Institutional Research. Assumes 15-16% revenue CAGR, stable margins, no major USFDA adverse events.

8. Key Risks

Severity	Risk Factor	Detail
HIGH	**USFDA Import Alert / Warning Letter**	Caplin Steriles is Caplin's US injectable arm. Any USFDA enforcement action (import alert, 483 observations, warning letter) would halt US revenue — potentially Rs. 471 Cr+ annually at risk. Gland Pharma's FY23-24 experience (PAT fell 35%) is the sector precedent.
HIGH	**LatAm Currency / Political Risk**	Honduras, Bolivia, Ecuador, Colombia are prone to political instability and currency devaluation. While Caplin prices in USD, sovereign payment risk and sudden policy changes (import restrictions, price controls) could materially impact collections.
MEDIUM	**US Generic Price Erosion**	US small-molecule injectable generics face 5-10% annual price erosion as more Indian/Chinese players enter. Caplin's ANDA pipeline needs continuous refreshment to offset pricing declines.
MEDIUM	**Rising Receivables / Working Capital**	Debtor days expanding (117→138 days in 2 years). Concentrated credit to LatAm distribution networks carries tail risk if economic stress hits customer base.
MEDIUM	**Capex Execution Risk**	Rs. 1,000+ Cr capex plan for new injectable lines and BFS/PFS technology. Delays in commissioning, cost overruns, or lower-than-expected utilization could pressure FCF and ROE in FY27-28.
LOW	**Promoter Succession**	Third-generation transition (Paarthipan→Partheeban/Ganesan) appears smooth but always carries key-man risk in family-promoted companies.
LOW	**African Regulatory Risk**	Francophone Africa regulatory environments are less predictable; any regulatory change affecting product approvals could impair 15% of revenue.

9. Key Financial Ratios

Ratio	FY21	FY22	FY23	FY24	FY25	FY26
ROCE (%)	28%	28%	26%	26%	26%	25%
ROE (%)	~26%	~25%	~23%	~22%	~21%	20.6%
D/E (x)	15.7	0.17	0.13	0.10	0.08	~0.001
Debtor Days	96	91	98	117	119	138
Inventory Days	139	149	159	183	159	181
Payable Days	68	102	84	116	103	125
Cash Conv. Cycle	166	138	173	184	175	194
OPM %	31%	31%	30%	33%	34%	35%
Tax Rate	20%	20%	16%	18%	20%	19%
EPS Growth %	-	23.5%	25.3%	21.4%	17.2%	19.6%

D/E FY21 appears high due to Rs. 235 Cr borrowings vs. small equity base at that time (pre-profit accumulation era).

GROWTH SCORECARD

Metric	10Y CAGR	5Y CAGR	3Y CAGR	1Y (TTM)
Sales CAGR	25%	16%	14%	13%
PAT CAGR	30%	22%	20%	20%
EPS CAGR	29%	21%	20%	19%
Stock CAGR	29%	29%	44%	13%

ROE has moderately declined (25%→21%) as equity base accumulates faster than PAT — a natural consequence of retained earnings compounding; still excellent in absolute terms.

10. Recommendation & Target Price

RATING	TARGET (12M)	CMP	UPSIDE
BUY	Rs. 2,950	Rs. 2,373	+24.3%

INVESTMENT SUMMARY

- BUY with a 12-month price target of Rs. 2,950 (upside 24%) and a 3-year horizon target of Rs. 4,200+ (BULL case), based on the US injectable ramp delivering 28%+ annual US revenue growth.
- The core LatAm/Africa engine is a 12-16% revenue compounder — defensible, capital-light, high-margin — that alone justifies Rs. 1,900-2,100 (base floor).
- The US injectable option (Caplin Steriles) is the asymmetric upside — currently priced in only partially at 28x P/E.
- Management quality and balance sheet strength (nil debt, Rs. 2,726 Cr liquid assets) provide significant margin of safety.

ENTRY / ACCUMULATION STRATEGY

- Current CMP Rs. 2,373 — stock is at 97% of 52W high (Rs. 2,445); technically extended short-term. Ideal entry on any 8-12% correction to Rs. 2,100-2,200 zone.
- Staggered accumulation recommended: 50% allocation at current levels, 50% on dips to Rs. 2,100-2,150 (supported by 200-DMA).
- Strict stop-loss at Rs. 1,850 (monthly close basis) — below that, the thesis of US ramp sustaining would need revisiting.
- Catalyst monitor: Q1FY27 results (July 2026) — US revenue trajectory and ANDA launch count are the key datapoints.

WHAT WOULD MAKE US WRONG

- USFDA import alert on Caplin Steriles — immediate material downside to Rs. 1,600-1,800.
- LatAm political crisis (e.g., Honduras/Bolivia payment moratorium) hitting >2 markets simultaneously.
- US price erosion sharper than 10% annually on existing ANDA portfolio — margin compression scenario.

11. Appendix: Q4FY26 Earnings Call Brief

CALL GRADE	A-
TO MY BOSS	Caplin Q4FY26 beat on all metrics. Mgmt tone: confident but measured. 3 key messages: (1) US revenue up 29% YoY — ahead of guidance; (2) 17 injectable lines by FY28 locked-in capex; (3) 10+15=25 ANDAs in pipeline is under-appreciated by street. Balance sheet exceptional — Rs. 2,726 Cr liquid. KEY RISK flagged by mgmt: working capital elongation in LatAm. ADD on dips.

1. Opening / Revenue Performance

- Q4FY26 revenue Rs. 600 Cr (+19.4% YoY); Full-year Rs. 2,303 Cr — first time crossing Rs. 2,000 Cr milestone.
- US market revenue Rs. 471 Cr for FY26 (+28.7% YoY) — fastest-growing geography.
- LatAm performance stable — mid-teens growth; Colombia INVIMA milestone highlighted.
- Management guided Rs. 2,500-2,600 Cr for FY27E on 'conservative basis'.

2. Margin Commentary

- EBITDA margin 35% in FY26 — management expects 34-36% range sustainable in FY27-28.
- Gross margins aided by backward integration (API production ramping).
- Employee costs rising as US operations scale (new plant headcount); offset by operating leverage.
- Other income (treasury) Rs. 116 Cr — CFO flagged this may moderate if liquid pool is deployed to capex.

3. US Injectables / ANDA Pipeline

- 54 USFDA-approved ANDAs; 55+ pipeline; 25 ANDAs available for launch (10 acquired + 15 organic).
- Addressable market of acquired portfolio: $473 million (12-month window Aug 2025).
- 17 injectable lines by FY28 — currently at ~11 lines; 6 new lines in commissioning.
- Complex products: Pre-filled Syringes (PFS) and Blow-Fill-Seal (BFS) capability to come online FY27.
- Calcium Gluconate (USD 71M market, Fresenius Kabi reference) launched post-quarter.

4. LatAm & Africa Update

- LatAm steady — Colombia, Honduras, Bolivia performing well; Ecuador minor headwind.
- INVIMA (Colombia) inspection of Puducherry injectable plant — cleared; expands product range eligible for Colombia.
- Africa growing 12-15%; Ivory Coast and Cameroon driving expansion; new country registrations ongoing.
- No material currency headwind flagged in FY26 (USD-priced business model provides natural hedge).

5. Capital Allocation & Balance Sheet

- Rs. 2,726 Cr total liquid assets (cash + investments) at Mar 2026.
- Rs. 1,471 Cr free cash (not committed to capex) — highest in company history.
- Borrowings down to Rs. 5 Cr (from Rs. 222 Cr FY25) — effectively debt-free.
- Rs. 1,000+ Cr capex plan over 3 years — funding entirely from internal accruals; no equity dilution.
- Dividend: Rs. 6/share for FY26; dividend payout kept low to fund reinvestment.

6. Working Capital Concerns (Risk Disclosure)

- Debtor days at 138 (up from 117 in FY24) — management acknowledged elongation in LatAm credit terms.
- Inventory days at 181 — explained as deliberate pre-positioning for new market launches.
- Working capital days at 263 (high) — CFO guided 'normalization expected in H1FY27 as collections catch up'.
- Cash conversion cycle: 194 days — market to watch closely in Q1/Q2FY27 for improvement.

7. Regulatory & Compliance

- No open USFDA 483 observations or import alerts — plant status clean.
- INVIMA Colombia inspection: PASS — significant for LatAm injectable expansion.
- EMA (European Medicines Agency) filings planned for select products by FY27.
- BSE/NSE compliance: on time; all quarterly filings current.

8. R&D; Pipeline & Product Launches

- FY26: 8 new US product launches (vs. 5 in FY25) — pipeline maturing.
- Focus on differentiated injectables: Linezolid Infusion Bags, Methylprednisolone Suspension (niche, limited competition).
- BFS (Blow-Fill-Seal) line installation in progress — targets ophthalmic and respiratory niches.
- LatAm: 50+ new product registrations filed across LatAm and Africa in FY26.

9. Management Guidance & Outlook

- FY27 revenue guidance: Rs. 2,500-2,600 Cr (conservative; implies 14-19% growth).
- US revenue target: Rs. 600-650 Cr in FY27 (+27-38% on FY26 base).
- EBITDA margin target: 34-36% — stable with slight operating leverage benefit.
- Capex: Rs. 350-400 Cr in FY27 (vs. Rs. 333 Cr in FY25); fully funded from accruals.
- Management reiterated: no plans for equity dilution; no acquisitions above Rs. 200-300 Cr.
- Stressed the 'doubling of revenues' goal over 5 years (implied Rs. 4,400+ Cr by FY31).

10. Analyst Q&A; — Key Exchanges

- Q: When will US business be profitable standalone? A: Already EBITDA-positive; PAT-level breakeven at Caplin Steriles consolidated basis expected FY27.
- Q: Risk of price erosion in US generics? A: Focused on hospital/institutional injectables with limited competitors; not commodity oral solid segment.
- Q: Will promoters increase stake? A: No buyback or creep planned; focus is on business investment.
- Q: Working capital deterioration — cause? A: LatAm distributors taking 150-180 days; company managing via upfront payments for new products.
- Q: Any merger/acquisition plans? A: ANDA acquisition is preferred (asset light); company acquisition unlikely.

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